

INDIAN ECONOMY

LEVEL
II



LECTURES

IMPORTANT ISSUES
EMANATED OUT OF
BUDGETARY PROCESS

MODULE - 35



TAXATION DYNAMICS IN POST-REFORM INDIA!

1 In 1990-91, the share of direct taxes in GDP was woefully low at around 2%, while indirect taxes accounted for around 8% of GDP.

2 In 1995-96, the share of direct taxes in GDP rose to 3%, and that of indirect taxes decline to 7%.

3 It is incidental to note that Tax-to-GDP for the Centre since the economic reforms is hovering in between 10%-12% of GDP.

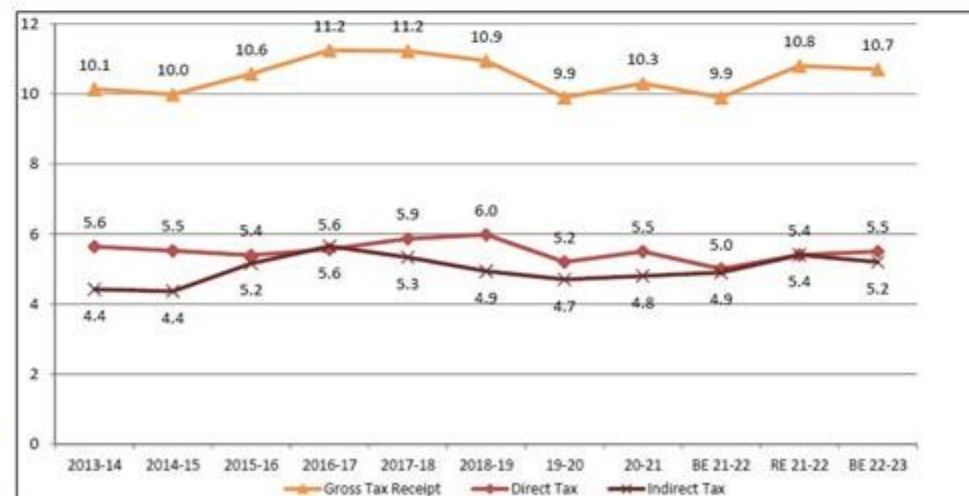
4 Because of the successive efforts made by the Governments, the direct, indirect taxes composition was altered by 2008-09.

5 In 2008-09, for the first time in post-reforms India, direct tax revenues rose to 5.8% of GDP, ahead of indirect taxes at 5.2% of GDP.

6 Same trend continued till now except aberrations of 2016-17 and 2020-21.

TREND IN TAX RECEIPTS

(% of GDP)



Note : GDP is as per the latest estimates published by CSO.

TAX TO GDP RATIO REACHED 11.7% IN 2021-22, SAYS THE GOVERNMENT!



- India's tax-to-GDP ratio is very low at 10.3% in 2020-21 and now it has gone up to 11.7%. Direct taxes are 6.1% of GDP, and indirect taxes are 5.6%.
- The Finance Ministry, in a statement said that the Tax to GDP ratio was the 'highest' and the tax buoyancy ratio was 'very healthy' at 1.9. It is 2.8 for direct taxes and 1.1 for indirect taxes in 2021-22.
- The ratio of direct to indirect taxes recovered from 0.9 in 2020-21 to 1.1 in 2021-22.

CESS IS QUITE OFTEN IN THE NEWS!



WHAT DO YOU UNDERSTAND BY CESS?

- Cess is an **earmarked tax**, that is collected for a **specific purpose** and ought to be spent only for that.
- Direct taxes, such as income tax and indirect taxes, such as **GST**, are the taxes, where the revenue received can be **spent** by the **Government** for any **public purpose**.
- Every cess is collected after the **Parliament** **authorises** its creation.
- **Article 270** allows cess to be excluded from the purview of the divisible pool of taxes.

*The idea of imposing cesses is to **ring-fence the revenue** for specific priority purposes, but there are several attendant difficulties.*

HISTORY OF CESSES!

- 1 As per the report by Vidhi Centre for Legal Policy, 42 cesses have been levied at various points of time since 1944.
- 2 Post Independence, the cess impositions were linked initially to the development of a particular industry, say salt cess and a tea cess in 1953.
- 3 Subsequent cesses have the thrust on labour welfare like
 - Iron ore mines labour welfare cess in 1961.
 - Limestone and dolomite mines labour welfare cess in 1972.

TOO MANY CESSES ARE STILL IN EXISTENCE!

- 1 With the implementation of GST, number of cesses were abolished.
- 2 However, there are as many as 25-30 cesses levied by the Finance and other Ministries of Government of India.



In addition to the reduction in the states' share in central taxes, there are several other problems pertaining to high number of cesses in existence!



ACCRUAL BASED ACCOUNTING

MARCH 31, 2022

When the rice is supplied on March 31 to the customer through the PDS, though the subsidy element is not paid by the Government immediately, it is counted as 2021-22 transaction.

The revenue and expenditure of an entity is recorded in the books, when it is incurred, irrespective of when cash is actually paid or received.



CASH BASED ACCOUNTING

APRIL 1, 2022

If the payments for subsidy are received on April 1, the transaction is counted as 2022-23.

In the cash-based accounting, books are prepared wholly on the basis of cash flows. The Govt. accounts have always been prepared on a cash basis.

There is a need to shift to Accrual Based Accounting in Union Budgets!



OIL BONDS ARE QUITE OFTEN IN THE NEWS!

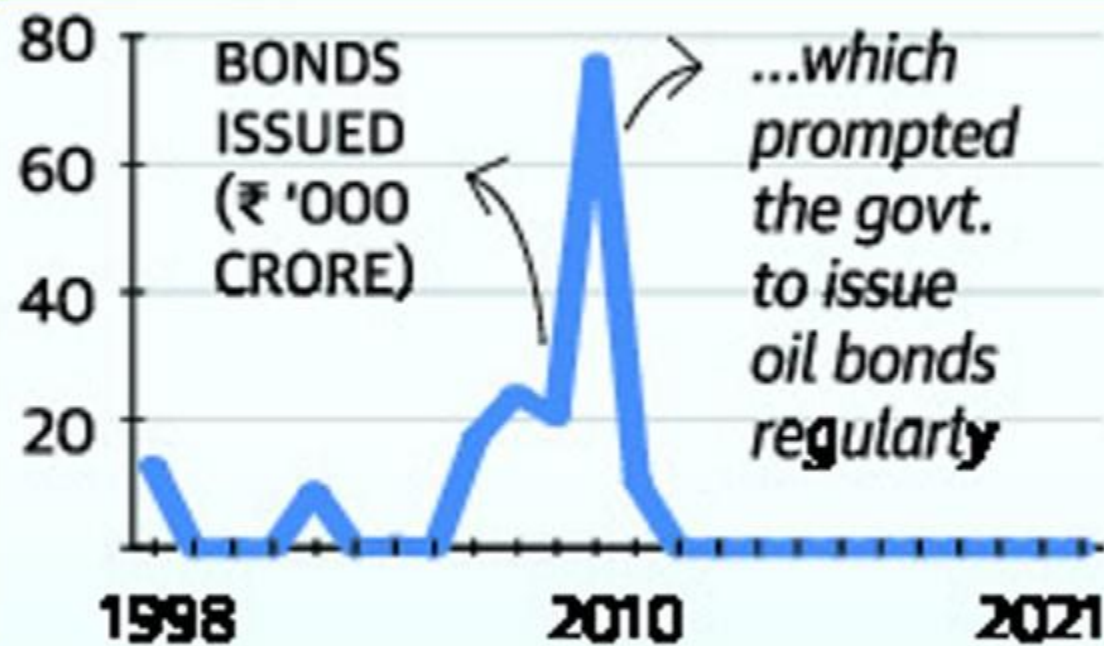


The Government stopped issuing them since 2010, as petrol was deregulated in 2010. Diesel was subsequently deregulated in 2014.

WHAT ARE THE OIL BONDS?

- Between 2005 and 2010, the Government issued long-dated Special Securities, totalling about Rs. 1.4 lakh Cr. to Oil Marketing Companies (OMCs).
- These debt securities carry interest rates varying from 6.35% to 8.4%.
- As petroleum products have huge subsidies at that point of time, in lieu of cash subsidy to be given by the Centre to the OMCs, the Government issued these oil bonds.

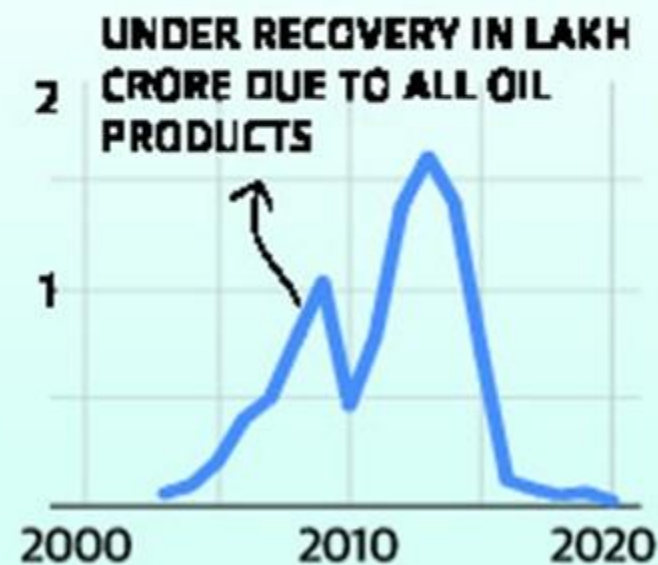
OIL BONDS WERE ISSUED ONLY TILL 2010



UNDER RECOVERIES FOR OMCs WERE BROUGHT DOWN SUBSTANTIALLY IN RECENT TIMES!

3. UNDER RECOVERIES | The difference between purchase and selling price of oil products is called under recovery

This is a notional loss for the oil marketing firms, later compensated by the govt. However, after deregulation, such losses are marginal



FISCAL COUNCIL IS SUGGESTED BY SEVERAL EXPERTS AND FINANCE COMMISSIONS!



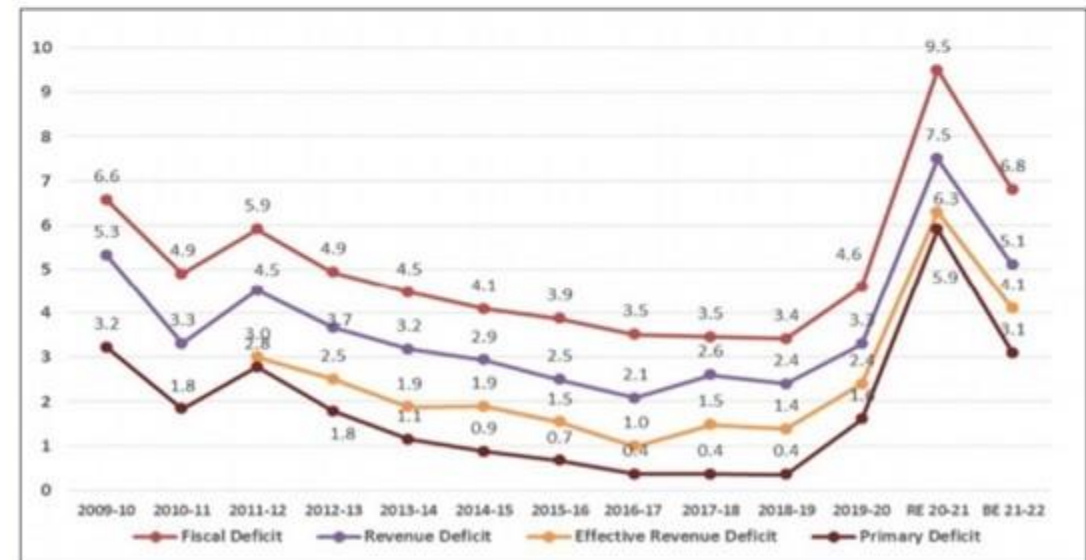
The Government in a written reply to Parliament in 2022, ruled out setting up of a Fiscal Council.

WHAT IS A FISCAL COUNCIL?

Fiscal Council will be a permanent agency with a mandate to independently assess the Government's fiscal plans and projections against the parameters of macroeconomic sustainability and put out its findings in the public domain.

DEFICIT TRENDS

(% of GDP)



WHAT IS EXPECTED FROM THE FISCAL COUNCIL?

- As the reports are kept in the public domain, **open scrutiny** will keep the Government on its toes.
- It also holds the **Government** to account for **any default**.
- It is expected to give an **independent** and **expert assessment** of the Government's fiscal stance.
- It also aids **informed debate** in **Parliament**.

WHAT IS THE GOVERNMENT'S VIEW, WHEN IT SAID NO!

- The Government said clearly that there are institutions such as
 - ✓ Comptroller and Auditor General of India (**CAG**)
 - ✓ National Statistical Commission (**NSC**)
 - ✓ **Finance Commission**
- When these many institutions exist, what is the need for Fiscal Council?



FISCAL COUNCIL EXISTS IN AROUND 30 COUNTRIES!

- Around 30 developed and emerging market economies have such institutions.
- They are named in different ways.
 - ✓ Congressional Budget Office in the US
 - ✓ Office of Budget Responsibility in the UK
 - ✓ Parliamentary Budget Office in Australia
- It is called Fiscal Council in several other countries.

THE SUGGESTION FOR FISCAL COUNCIL IS CONTINUING FROM 13th FC!

- The suggestion for a Fiscal Council is not new, it was first recommended by the 13th Finance Commission.
- It was also endorsed subsequently by the 14th Finance Commission and then by the Fiscal Responsibility and Budget Management Review Committee headed by N. K. Singh.
- 15th Finance Commission also reiterated the same.
- In Action Taken Reports submitted by the Government (for 13th, 14th and 15th FCs), the Government was silent on the recommendation!

PROPONENTS HAVE VALID POINTS ABOUT FISCAL COUNCIL!

1 PITFALLS IN BUDGET

There are several issues such as the concept of **effective revenue deficit**, **off-budget financing** (though it came down drastically) and **loan intermediation** through public enterprises. At the same time, several times the goal posts for fiscal deficits are shifted.



2 INEFFECTIVE FRBM ACT

- In 2003, FRBM Act was enshrined. It enjoins the Government to conform to **preset fiscal targets**.
- In the event of **failure**, it has to explain the **reasons for deviation**.
- The Government is also required to submit to **Parliament a Fiscal Policy Strategy Statement (FPSS)**.
- No in-depth discussion takes place in Parliament and the submission of the FPSS in Parliament passes off without much notice.

3 EX-ANTE EVALUATION

- Fiscal Council facilitates **ex-ante evaluation** about the robustness of budget forecasts.
- It also looks at **realism** of the **budget estimates** and **monitors progress** and **conformity** to fiscal rules.
- In contrast, the work done by CAG/FC/Statistical Commission are **ex-post analysis**.



FINAL WORD ABOUT THE FISCAL COUNCIL!

- If the Government has the political will, there is no need for Fiscal Council.
- If Government has no political will, even Fiscal Council will not work.
- But it certainly acts as an additional layer of legislative scrutiny, raises public awareness and makes the system more comprehensive and transparent.

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